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LOOPHOLES IN IBC: A COMPARATIVE ANALYSIS AND ROAD AHEAD FOR INDIA.**Introduction**

The Insolvency and Bankruptcy Code, 2016 (“IBC”) was enacted as a comprehensive reform to consolidate and streamline India’s fragmented insolvency framework, with the primary objectives of ensuring time-bound resolution, maximisation of asset value, and balancing stakeholder interests. Since its introduction, the IBC has significantly altered the creditor-debtor relationship and is widely regarded as a progressive step toward improving India’s ease of doing business. However, despite its structural strengths and evolving jurisprudence, its practical implementation has revealed certain inconsistencies and gaps.

In insolvency law, “loopholes” refer to structural, procedural, or interpretational deficiencies that hinder the effective achievement of legislative objectives. Under the IBC, such issues are evident in delays in completion of the Corporate Insolvency Resolution Process (“CIRP”), increasing litigation, and inconsistent judicial approaches. The statutory timeline of 330 days prescribed under Section 12 is frequently breached due to prolonged proceedings and institutional constraints. Further, judicial pronouncements such as *Vidarbha Industries Power Ltd. v. Axis Bank Ltd.* [2022 INSC 710] have introduced interpretational flexibility at the admission stage, raising concerns regarding predictability and uniform application of the law.

Key Loopholes in the Insolvency and Bankruptcy Code, 2016



1. Delay in CIRP

Although Section 12 (i.e., Time-limit for completion of insolvency resolution process) of the IBC prescribes a time-bound process of 330 days for completion of the Corporate Insolvency Resolution Process (“CIRP”), this timeline is frequently breached in practice. Delays arise due to prolonged litigation, repeated adjournments, and capacity constraints before the NCLT and NCLAT. Such delays lead to depreciation of asset value and reduce recovery for creditors, defeating the core objective of the Code.

2. Judicial Discretion & Admission Issues

The *Vidarbha Industries Power Ltd. v. Axis Bank Ltd.* introduced an element of discretion into what was originally a default-based framework under the IBC. The Supreme Court of India held that under Section 7(5)(a) (i.e., Initiation of corporate insolvency resolution process by financial creditor), the National Company Law Tribunal is not required to admit an application merely because a debt and default are proven. Instead, it may consider the facts of the case before deciding. This has reduced predictability in the insolvency process, as admission is no longer automatic.

3. Misuse of Moratorium

The moratorium under Section 14 is intended to preserve the assets of the corporate debtor and maintain the status quo during CIRP. However, in practice, it is sometimes invoked to delay or

obstruct legitimate recovery proceedings by creditors. This results in unintended protection of defaulting entities and prolongs the resolution process.

4. Lack of Cross-Border Framework

The IBC currently does not have a fully developed cross-border insolvency mechanism. Although Sections 234 and 235 provide limited provisions, the absence of adoption of the UNCITRAL Model Law creates challenges in dealing with multinational insolvencies, recognition of foreign proceedings, and coordination between jurisdictions.

Comparative mechanisms of Insolvency across jurisdictions



1. United States

- a. The United States deals with common insolvency issues like delay, uncertainty, and creditor conflicts through a structured and flexible system under Chapter 11 of the U.S. Bankruptcy Code. Delays are reduced by allowing pre-packaged bankruptcy plans, where companies negotiate with creditors before approaching the court.
- b. The issue of uncertainty at the admission stage is limited because the process is largely predictable once default is shown, with strong court supervision throughout.
- c. To prevent misuse of protection periods, the automatic stay under Section 362 is monitored by courts, and relief can be granted if it is being misused. Transparency is maintained

as creditors actively participate in decision-making through committees.

- d. Further, debtor-in-possession (DIP) financing under Section 364 ensures that the company continues functioning, avoiding value loss. The U.S. has also adopted a clear cross-border insolvency framework (Chapter 15), which helps in dealing with international assets and proceedings. Overall, the system focuses on early planning, transparency, and continuity of business to reduce delays and inefficiencies.

2. United Kingdom

- a. The UK insolvency framework addresses delays and creditor deadlocks through the Corporate Insolvency and Governance Act 2020, which introduced the Restructuring Plan under Part 26A of the Companies Act 2006. Notably, Section 901G enables cross-class cramdown, allowing courts to sanction a restructuring plan even where dissenting creditor classes oppose it, as affirmed in *Re Virgin Active Holdings Ltd. (2021)*, thereby reducing delays caused by creditor deadlock. In *Re Virgin Active Holdings Ltd.*, the High Court, for the first time, applied cross-class cramdown to bind multiple dissenting landlord classes. It sanctioned restructuring plans under Part 26A of the Companies Act 2006, allowing the company to restructure lease liabilities by overriding creditors deemed “out of the money,” thereby prioritizing business rescue. Normally, creditors are divided into different groups, and each group must approve a restructuring plan. However, under cross-class cramdown, a court can approve the plan and make it binding on all groups even if some vote

against it, provided the plan is fair and reasonable.

- b. The Act also introduced a statutory moratorium (Sections A1-A53, Insolvency Act 1986 as amended), which provides a payment holiday and protection from creditor action while the debtor formulates a rescue plan. This moratorium remains under the supervision of a “monitor” to prevent misuse and ensure the company remains a going concern.
- c. Admission and restructuring processes are rendered more predictable through active judicial scrutiny and structured creditor participation, as seen in *Re Smile Telecoms Holdings Ltd.*, where the court emphasised fairness, class composition, and creditor interests in sanctioning restructuring plans.
- d. Although the UK has not adopted a single codified cross-border regime like the U.S., it recognises foreign insolvency proceedings under the Cross-Border Insolvency Regulations 2006 (implementing the UNCITRAL Model Law), and through common law principles. Overall, the UK framework relies on court-driven mechanisms and statutory safeguards to minimise delays and resolve creditor conflicts efficiently.

Addressing the gap: The Way forward for India



- Ensure strict adherence to timelines under Section 12, with limited adjournments, as

emphasised in *Committee of Creditors of Essar Steel India Ltd. v. Satish Kumar Gupta* [(2019) 16 SCC 479].

- Strengthen the institutional capacity of the NCLT by increasing benches, improving infrastructure, and leveraging technology, as highlighted in IBBI reports.
- Expedite adoption of the UNCITRAL Model Law on Cross-Border Insolvency to enhance cooperation in multinational insolvency cases.
- Expand the scope of pre-packaged insolvency resolution process (PPIRP) beyond MSMEs, in line with global practices in the UK, to enable early restructuring.

PPIRP (i.e., Pre-Packaged Insolvency Resolution Process) is a hybrid insolvency mechanism where a distressed company

and its creditors negotiate and agree on a resolution plan before formally initiating insolvency proceedings. In India, it is governed under Chapter III-A (Sections 54A-54P) of the Insolvency and Bankruptcy Code 2016.

Key takeaway

“A strong insolvency law is defined not just by its design, but by how effectively its loopholes are addressed in practice.”

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